Management of the company means the senior people running the company - CEO,CFO,CTO,MD and so on.

**All the past decisions and the work done decides the current position of the business.**

**Importance of Management**

**Company's future performance depends on them.**

One of the most important factors in this regard is management.

Since the management is accountable for all the small and large decisions, it is crucial to have the right set of people running the company. Due to time constraints, it is not possible to everything about the management and evaluate it. Therefore, we will ensure that the overall objectives of the management align with ours in order to make good decisions on behalf of the minority shareholders and then trust them with the working of the company.

## What steps will an institutional investor take to understand the management? They broadly classify their research into four parts:

Institutional Investor

### The Ability of Management

- o What are their competencies?
- o How are they allocating capital?
- o How are they utilizing the cash generated?
- o Are they able to achieve their goals?

### Vision

- o What is the company trying to accomplish?
- o What are the long-term and short-term goals?

### Integrity

- o Integrity is a very subjective topic to judge.
- o Has the management done anything which was not in the best interests of the various stakeholders and the customers?

### Motivation

- o Motivation is essentially related to remuneration in this context.
- o How are they compensated for their efforts in the company?

These are the four factors that every institutional investor will consider. Other considerations include:

Ownership structure

Corporate governance

Is the company well-run and well-managed by its directors?